

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 755

BY REVENUE AND TAXATION COMMITTEE

AN ACT

RELATING TO TAXATION; AMENDING CHAPTER 36, TITLE 63, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 63-3643, IDAHO CODE, TO PROVIDE FOR THE ANNUAL REVIEW OF SALES TAX EXEMPTIONS AND FOR THE EXPIRATION OF SALES TAX EXEMPTIONS; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Chapter 36, Title 63, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 63-3643, Idaho Code, and to read as follows:

63-3643. ANNUAL REVIEW OF SALES TAX EXEMPTIONS -- EXPIRATION OF EXEMPTIONS. (1) The legislative services office shall conduct an annual review of the exemptions provided in this chapter from the taxes imposed pursuant to this chapter and prepare a report making recommendations to the legislature concerning whether to eliminate or revise such exemptions. The annual review may be conducted in such a manner that fewer than all exemptions provided in this chapter are reviewed in any single year, provided that all exemptions pursuant to this chapter shall be reviewed during any five (5) year period. In conducting the annual review, the legislative services office shall first review those exemptions scheduled to expire pursuant to subsection (4) of this section, proceeding in order from the earliest expiration date to the latest. Such annual review and report shall include a detailed analysis of the following criteria:

(a) The public purpose gained by the original enactment of the tax exemption;

(b) The amount of revenue that the state would collect each year if the tax exemption were repealed;

(c) The affected taxpayers who would pay additional taxes if the exemption were repealed;

(d) The nature of any public benefits or detriments that would occur if the exemption were repealed;

(e) Whether the exemption has out-of-state beneficiaries;

(f) How long the exemption is effective;

(g) Any adverse impacts of the exemption or its elimination and whether the benefits of continuance or elimination outweigh adverse impacts; and

(h) Any other criteria that the legislative services office deems relevant.

(2) The legislative services office shall file the report with the senate local government and taxation committee, the house revenue and taxation committee, and the joint finance-appropriations committee no later than February 1 of each year.

1       (3) The state tax commission and the Idaho department of commerce shall  
2 provide all necessary non-privileged information requested by the legisla-  
3 tive services office that relates to any sales tax exemption managed by each  
4 agency.

5       (4) (a) Except as otherwise expressly provided in this chapter, and ex-  
6 cept for the exemption provided in section 63-3622C, Idaho Code, each  
7 exemption from the taxes imposed pursuant to this chapter that is en-  
8 acted on or after January 1, 2026, shall expire on the later of ten (10)  
9 years after its effective date or July 1, 2027, unless the legislature  
10 acts by law to extend or reenact the exemption prior to its expiration.

11       (b) Except as otherwise expressly provided in this chapter, and except  
12 for the exemption provided in section 63-3622C, Idaho Code, each exemp-  
13 tion from the taxes imposed pursuant to this chapter that was enacted  
14 before January 1, 2026, shall expire on the later of ten (10) years after  
15 its effective date or July 1, 2031, unless the legislature acts by law to  
16 extend or reenact the exemption prior to its expiration.

17       SECTION 2. An emergency existing therefor, which emergency is hereby  
18 declared to exist, this act shall be in full force and effect on and after  
19 July 1, 2026.